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AS AMENDED

By: Dossett

[paid family and medical leave - third-party actuary
- report - collaboration - timeline for
implementation - actuary study - promulgation of
rules - codification - effective date]

BE IT ENACTED BY THE PEOPLE OF THE STATE OF OKLAHOMA:

SECTION 1. NEW LAW A new section of law to be codified in the Oklahoma Statutes as Section 950 of Title 40, unless there is created a duplication in numbering, reads as follows:

A. By January 1, 2027, the Department of Labor shall contract for the services of a qualified third-party actuary to perform an actuarial study for a paid family and medical leave insurance program in this state including, but not limited to, the startup costs of the program, costs for the state to administer the program, outreach and education costs, the premium contributions necessary to maintain the solvency of the program for a period of five (5) to ten (10) years, potential trends in claim experience over time, and total annual revenues, expenditures, and reserves. The actuarial study shall be completed and shared with the public no later than thirty (30) days after the completion of the study. Through

1 utilization of relevant data including, but not limited to, other
2 state paid family and medical leave insurance programs, short-term
3 disability claims, family and medical leave data from the federal
4 government, and a review of the experience, structure, and policy
5 design of other state paid family and medical leave programs, the
6 actuarial study shall consider the following program parameters as
7 they relate to the premiums necessary to maintain solvency:

8 1. The purposes for which paid family and medical leave can be
9 used including, but not limited to, bonding with a new child, caring
10 for a family member with a serious health condition, recovering from
11 a serious health condition, addressing medical and nonmedical needs
12 arising from domestic violence and sexual assault, and addressing
13 military family and caregiving needs related to a family member's
14 deployment;

15 2. Coverage of all public, private, and nonprofit sector
16 employees in this state within the scope of the paid family and
17 medical leave insurance program's rights and protections including,
18 but not limited to, a breakdown of requirement coverage of employees
19 of this state and employees of public subdivisions within this
20 state;

21 3. Coverage of self-employed workers, at the option of the
22 worker, within the scope of the paid family and medical leave
23 insurance program's rights and protections;

24

1 4. The eligibility standard for workers to qualify for paid
2 family and medical leave benefits including, but not limited to,
3 earnings requirements, minimum hours worked, other such earnings,
4 and work history metrics;

5 5. Utilization of an inclusive family definition to afford
6 workers the right to take paid family and medical leave to care for
7 immediate members of the family, regardless of legal or biological
8 relation;

9 6. Use of a social insurance model for the paid family and
10 medical leave insurance program wherein workers and employers share
11 the premium costs of the program including, but not limited to:

- 12 a. exempt the smallest employers from contributing to the
13 program while still including their employees within
14 the scope of the program,
- 15 b. exempt self-employed workers who opt into the program
16 from contributing the employer portion of premium
17 costs to the program, and
- 18 c. limit premium contributions to wages not exceeding the
19 contribution and benefit base limit established
20 annually by the federal Social Security Administration
21 for purposes of the federal Old-Age, Survivors, and
22 Disability Insurance program limits pursuant to 42
23 U.S.C., Section 430;
- 24

1 7. Utilization of a graduated wage replacement rate that
2 ensures that low-wage workers receive a higher wage replacement
3 level and can afford to take paid family and medical leave, as
4 compared to a flat rate of wage replacement;

5 8. Inclusion of an equitable maximum weekly benefit rate that
6 adjusts annually based on the statewide average weekly wage and
7 ensures that workers can afford to take paid family and medical
8 leave;

9 9. A maximum leave duration, not below twelve (12) weeks of
10 leave per year;

11 10. Inclusion of an unpaid waiting period during which workers
12 do not receive paid family and medical leave wage replacement
13 benefits not to exceed the first seven (7) calendar days of one's
14 leave, as compared to the lack of any such waiting period;

15 11. A right to reinstatement for all employees upon returning
16 from a period of paid family and medical leave, and its effect on
17 program usage; and

18 12. Based on information provided by this state and in
19 partnership with this state, the estimated administrative costs to
20 the state for implementing and administering the paid family and
21 medical leave insurance program including, but not limited to, costs
22 associated with outreach, education, enforcement, and data
23 collection.
24

1 B. As used in this section, "qualified third-party actuary"
2 means an actuary who is not employed by this state and who meets the
3 qualification standards for the American Academy of Actuaries for
4 the scope of the actuary requested in this section.

5 C. The qualified third-party actuary shall model and compare
6 the costs including, but not limited to, the premium rates necessary
7 to achieve solvency, of at least two different paid family and
8 medical leave insurance program models based on the policy
9 parameters provided in subsection A of this section. Beyond the
10 initial startup years in which benefits are paid out, the reserves
11 accounted for pursuant to subsection A of this section shall be
12 approximately one hundred thirty-five percent (135%) of the benefits
13 paid during the previous fiscal year plus an amount equal to one
14 hundred percent (100%) of the cost of administration of the payment
15 of those benefits during the previous fiscal year, less the amount
16 of net assets remaining with the paid family and medical leave
17 insurance programs at the end of the previous fiscal year.

18 D. The qualified third-party actuary shall utilize data that is
19 relevant to this state, such as workforce and demographic data about
20 the population of this state, as may be required to perform an
21 actuarial study pursuant to subsection A of this section.

22 E. The Department, in conjunction with the qualified third-
23 party actuary and a public stakeholder working group, shall identify
24 the program parameters for the qualified third-party actuary to use

1 for each program that is modeled, with the model components based on
2 the paid family and medical insurance programs adopted in other
3 states.

4 F. The qualified third-party actuary shall assess a timeline
5 that benefits the fiscal condition and preferred funding of a paid
6 family and medical insurance program for the state.

7 G. The actuarial study as detailed in this section shall be
8 completed in accordance with the relevant Actuarial Standards of
9 Practice promulgated by the Actuarial Standards Board.

10 H. The Department shall promulgate any rules necessary to
11 implement and administer the provisions of this section.

12 SECTION 2. This act shall become effective November 1, 2025.

13 COMMITTEE REPORT BY: COMMITTEE ON ECONOMIC DEVELOPMENT, WORKFORCE
14 AND TOURISM

15 March 4, 2025 - DO PASS AS AMENDED
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